

General Elections.

The amendments for cross-border insolvency, pre-packs for large corporates, and clarification regarding some judgements of the Supreme Court are expected. “These matters are the principal areas where amendments are expected,” says Shardul S. Shroff, Executive Chairman of law firm Shardul Amarchand Mangaldas & Co.

The government has periodically increased the number of judicial and technical members of the National Company Law Tribunal (NCLT), but there’s still a big capacity issue given the rising cases. There are many alternative ways to reduce the NCLT’s burden. Shroff suggests that the MCA and the Insolvency Law Committee (ILC) examine whether applications by creditors under Sections 7 to 9 can be determined through a checkbox qualification approach rather than a detailed oral hearing. “It is judicially recognised, even by Supreme Court judgements, that oral hearings are not a necessary part of complying with natural justice. Written arguments can be the basis for compliance with natural justice at the admission stage of an application under Sections 7 to 9 of the IBC,” says Shroff.

But just as the mechanism was progressing towards stability, a notable challenge emerged: the lack of a framework for group insolvency. Currently, the group insolvency process has been developing under the guidance of the courts. “Perhaps the time has come for laying down appropriate principles in this regard through legislative changes. The task now is to move forward through appropriate legal changes,” RBI Governor Shaktikanta Das said at a recent seminar.

A SUCCESSFUL DFI MODEL

A faster recovery of bad loans under IBC by banks would increase lend-



“Facilitating the shift towards a less cash-dependent economy involves providing incentives for businesses to adopt digital payment systems”

GEORGE JOHN

EXECUTIVE VICE PRESIDENT OF IT AND OPERATIONS, ESAF BANK



“India’s position as the fastest-growing major economy, coupled with its strong diplomatic ties and focus on concluding trade pacts, creates a solid foundation for the rupee’s acceptance globally”

ANUJ AGARWAL

CHIEF ECONOMIST AND HEAD OF RESEARCH, TRUBOARD PARTNERS

able resources, enabling their deployment to address the country’s infrastructure requirements. Given the substantial government capital expenditure post-Covid-19 to offset the decline in private capital expenditure and stimulate growth, both the private sector and banks find themselves well-positioned to actively contribute to the ongoing growth narrative. The government has also revisited the DFI model to support the infrastructure sector. After the earlier stint of DFIs—IDBI, ICICI, and IDFC—which are now commercial banks, the government is betting big on the National Bank for Financing Infrastructure and Development (NaBFID) to play a pivotal role in financing India’s infrastructure needs.

NaBFID, under K.V. Kamath’s chairmanship, is focussing on developing innovative financing models, forging partnerships with private

sector players, and implementing effective risk management practices. It is well-stocked with capital for the next three years. In addition, there is a window available to raise Tier 1 and Tier 2 bonds in the form of debt to augment its capital base. In terms of leverage, NaBFID is allowed to borrow 10 times its equity capital. This means there is a window to mobilise ₹2 lakh crore. The NaBFID Act also provides for equity dilution, which is yet another source to raise equity. This new DFI is also exploring a larger role in infrastructure, not just financing. The objective is to be a catalyst.

Clearly, India’s financial sector is on the brink of exciting transformations. While progress has been made, there is still some unfinished business. **BT**

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